

**BEFORE THE
FEDERAL MARITIME COMMISSION**

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

REPLY TO OPPOSITION TO PRPA’S MOTION TO STAY PROCEEDINGS

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the “PRPA”), through its undersigned counsel, and respectfully states and requests as follows:

As PRPA stated in its December 4th *Motion Requesting an Order to Stay Proceedings*, it honestly believes that this case should be stayed, *at the very least*, until the *Dantzler, Inc., et. al., v. Puerto Rico Ports Authority* case, Appeal No. 18-2089. That petition is consistent with Hon. Erin M. Writh’s July 2nd *Order Denying Puerto Rico Ports Authority’s Motion to Dismiss*, since there the Commission deemed that it would be “premature to resolve the issue [of sovereign immunity] at this point,” “[g]iven the circuit split on the issue as well as the pending appeal.” (*Id.* at p. 9 ¶ 5.) And now, *Dantzler* still pending, PRPA believes that incurring in the costly exercise of fully briefing the issues of the case would also be premature, particularly considering the D.C. Circuit’s decision in *PRPA v. Federal Maritime Commission*, 531 F.3d 868 (D.C. Cir. 2008), which is binding upon the Commission.

I. Toyota would suffer no harm if a “stay” were granted

Toyota de Puerto Rico, Inc. (“Toyota”) objects to PRPA’s request, but it fails to inform the Commission the a “stay” **would cause it no harm whatsoever**, particularly since the brief discovery performed showed that Toyota suffered no damages, since it passed on all of the fees which Oceanic General, Inc. (“Oceanic”) and Crowley Puerto Rico Services, Inc. (“Crowley”) allegedly charged it as Electronic Scanning Fees (“ESFs”), to “twenty something” independent Toyota and Lexus dealers in Puerto Rico. (See, Exh. A, Transcript of Deposition of Mr. Daniel O’Neill at pgs. 62 line 1 to 63 line 25.)

Further, Toyota has also failed to inform the Commission that the damages which it claimed in its Verified Complaint are exaggerated, since Oceanic and Crowley were charging it a “surcharge,” *well exceeding PRPA’s ESF rate*, and Toyota did not consider that overcharge when it calculated its damages. (*Id.* at pgs. 36 line 19 to 38 line 10.) Toyota never objected to those ESF charges and was not aware that Oceanic and Crowley were imposing a “surcharge” until Mr. Daniel O’neill’s November 5th deposition. (*Id.* at pgs. 60 line 21 to 61 line 25.) At the very least, Toyota should recalculate its allege damages and amend it Verified Complaint.

II. Footnote # 9 of the Grajales case suggested the existence of hybrid entities

Toyota argues that *Grajales v. Puerto Rico Ports Authority*, 831 F.3d 11 (1st Cir. 2016), is decisive in this case. But, it fails to explain that *Grajales* was a labor and employment case, while this case addresses Puerto Rico and National security issues. Further, it was Footnote # 9 of the *Grajales* case which invited PRPA to raise its sovereign immunity defense in the *Dantzler* case.

Note that the *Garjales* Court **questioned** whether,

PRPA could be immune in the performance of functions such as those identified in *Prince* but not in performance of functions such as those identified in *Royal Caribbean*. Nor does either party content that the outcome here depends on our

deciding whether a sovereign may structure an entity to be an arm only when performing certain functions and not when performing other...

Id. at 21 fn. 9. That Footnote even cited to *Regents of the Univ. of Cal. v. Doe*, 519 U.S. 425, 427 (1997), which reserved deciding the issue of “whether there may be some state instrumentalities that qualify as ‘arms of the State’ for some purposes and not others.” In sum, that footnote suggested the existence of hybrid entities.

In *Thacker v. TVA*, 203 L. Ed. 2d 668, 139 S. Ct. 1435 (2019), the US Supreme Court followed that type of trend by holding that a hybrid public entity like the Tennessee Valley Corporation (TVA), “...might have immunity from suits contesting one of its governmental activities, of a kind not typically carried out by private parties.”

That said, Act No. 12 of February 18, 2008 (“Act 12”), 23 P.R. Laws Ann. §§ 3221 *et seq.*, imposed upon PRPA the duty to scan incoming shipping containers entering the port of San Juan in order to detect contraband, undisclosed taxable goods and increase port security, all while preserving the efficient movement of cargo. That scanning program leads efforts to (i) protect U.S. citizens from terrorist attacks; (ii) enhance port monitoring activities and technology at the port of San Juan; (iii) limit trafficking of illegal fire arms, drugs, and other contraband; (iv) provide tools for the Puerto Rico Treasury Department to fight tax evasion; and (v) enhances the Commonwealth of Puerto Rico’s reputation as a safe and ideal place to conduct business. 23 P.R. Laws Ann. § 3222. And, the First Circuit Court of Appeals has deemed it a legitimate security measure and relevant to port operations. *Industria y Distribución de Alimentos v. Trailer Bridge*, 797 F.3d 141, 147 (1st Cir. 2015).

Act 12 imposes upon PRPA the quintessential governmental responsibility of improving safety and security at the Port of San Juan, and maintaining Puerto Rico’s reputation as a secured

commercial port. It also sought to provide adequate security at the U.S. Port, after the terrorist attacks of September 11, 2001. After such tragic events, in 2002 Congress enacted the Maritime Transportation Security Act ("MTSA"), 46 U.S.C. §§ 70101 *et seq.* Congress identified that "[p]orts are often very open and exposed and are susceptible to large scale acts of terrorism that could cause a large loss of life or economic disruption." *Id.* at §§ 70101(7). Further, that "[p]orts often are a major locus of Federal crime, including drug trafficking, cargo theft, and smuggling of contraband and aliens. *Id.* at §§ 70101(7). Congress believed, in part, that securing "port facilities and examining or inspecting containers would increase security at United States ports." *Id.* at §§ 70101(10). And, at the time, it also found that "inspection levels of containerized cargo [were] insufficient to counter potential security risks," since the technology required to conduct "the nonintrusive inspection of containerized cargo" was "not adequately deployed." *Id.* at § 70101(8).

Further, in the year 2006, Congress enacted the Security and Accountability for Every Port Act ("SAFE Port Act"), 6 U.S.C. §§ 901 *et seq.* That legislation also required the scanning of containerized cargo. (*Id.*) And, particularly, that act sought to strengthen "port security antiterrorism measures at ports located in the Caribbean Basin, as such ports pose unique security and safety threats to the United States." 6 U.S.C. § 983(b)(2) and 46 U.S.C. § 70110.

Considering that trend, in 2007, the Governor of Puerto Rico and several agency heads executed an interagency agreement regarding, among other issues, port security. Months later, on February 18, 2008, the Commonwealth's Legislature approved Act 12.

In sum, PRPA's functions under Act 12 far exceed the employer responsibilities addressed in *Grajales*.

III. September 11th PR Supreme Court and prior PR Appellate Court Judgment

On September 11, 2019, the Puerto Rico Supreme Court decided that PRPA's Organic Act, P.R. Laws Ann. Tit. 23§ 331, *et. seq.*, and Act 12, authorized PRPA to inspect cargo, conduct the scanning program and charge the ESFs, without the need of particular Regulation on the matter. (See, Exh. B – Translated Judgment.) That decision brings an end to a long line of State court litigations on the matter of whether or not PRPA was authorized to implement Act 12.

WHEREFORE, PRPA very respectfully requests that the Commission issue an Order staying the proceedings and deadlines until the *Dantzler* case is decided by the U.S. Court of Appeals for the First Circuit. Further, were it to decline to grant PRPA's request for "stay," PRPA very respectfully requests that the Honorable Commission certify the issue for interlocutory appeal, so that PRPA may be able to proceed before the Appellate Court with this request.

Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys of record, who are counsel for **Toyota de Puerto Rico Corp.:**

Rafael Escalera-Rodriguez, Esq. (escalera@reichardescalera.com);
Sylvia M. Arizmendi, Esq. (arizmendis@reichardescalera.com); and,
Alana Vizcarrondo-Santana, Esq. (vizcarrondo@reichardescalera.com).

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 16th day of December, 2019.

TREBILCOCK LLC

Metro Office Park

BDG 11 Suite 105^a

Guaynabo, P.R. 00968

Tel: 787-399-1969

/s/Thomas Trebilcock Horan

Thomas Trebilcock-Horan, Esq.

USDC-PR No. 220514

Email: ttrebilcock@trebilcockrovira.com

IN THE UNITED STATES FEDERAL
MARITIME COMMISSION

TOYOTA DE PUERTO RICO Complainant (S) Vs. PUERTO RICO PORTS AUTHORITY; CROWLEY PUERTO RICO SERVICES, INC. AND OCEANIC GENERAL Respondent (S)	CASE NUM.: 19-02 ABOUT: SECTION 11 OF SHIPPING ACT Of 1984
---	--

DEPOSITION TAKEN OF
Daniel O'Neill Delgado

Date: November 5, 2019

Time: 2:30

Location: TREBILCOCK, LLC.
Metro Office Park.
BLDG 11. Oficina 105a.
San Juan, PR 00901

APPEARANCES

BY THE COMPLAINANT

Atty. Sylmarie Arismendi

BY THE RESPONDENTS

Atty. Thomas Trebilcock Horan

Others

Larry Schulze: Interpreter

Don Marshall: Director of Legal Affairs, Toyota of PR

NOTARY PUBLIC

Atty. Thomas Trebilcock Horan

CARLOS BOLÍVAR GUILLEN

Violet Street GG-10

Borinquen Gardens,

Rio Piedras, PR 00926

STENOGRAPHER: Eileen Tanner

DEPONENT

Daniel O'Neill Delagad

*****PROCEEDINGS*****

PROCEDURES ARE DEVELOPED AS THEY ARISE FROM THE
FOLLOWING TRANSCRIPTION:

ATTY. TREBILCOCK:

Good afternoon, it's currently 2:55 with the
deposition of Mr. Daniel O'Neill Delgado, in a case before
the Federal Maritime Commission docket #19-02, Toyota de
PR, Corp. v Puerto Rico Ports Authority. Um, present here
is Thomas Trebilcock who's speaking at this time, if
everybody would please state your name for the record.

Court Reporter:

Eileen Tanner, court reporter.

Deponent:

Daniel O'Neill.

Interpreter:

Larry Schultze, Interpreter.

Mr. Marshall:

Don Marshall director of legal affairs for Toyota of
Puerto Rico.

Atty. Arismendi:

I am Sylmarie Arismendi I am counsel for plaintiff in
this case.

*****OATH*****

Atty. Trebilcock

And we determined that it would be fine for

1 that is stated in this deposition to the best of your
2 abilities?

3 INTERPRETER:

4 I do.

5 *** STIPULATIONS ***

6 ATTY. TREBILCOCK:

7 The stipulations sister counsel thirty (30) days, no
8 ten (10) days to ...

9 Atty. Arismendi:

10 We'll use the same ones that we used in the
11 deposition of a ... Mr. de Jesus.

12 Atty. Trebilcock:

13 That works perfectly. Thank you.

14 DANIEL O'NEILL DELGADO

15 After having been duly sworn in,

16 stated as follows:

17 **DIRECT EXAMINATION**

18 ATTY. TREBILCOCK:

19 Q Mr. O'Neill if you'd be so kind, can you please
20 state your name, whole name for the record again?

21 ¿Podría decir su nombre completo para el récord?

22 R Daniel O'Neill Delgado.

23 Q What if anything do you do at Toyota de PR,
24 Corp.?

25 ¿Qué si algo hace usted en Toyota de PR, Corp.?

1 R Gerente de finanza y contabilidad.

2 I'm the director of finances and accounting.

3 Q How long have you been at Toyota de PR.

4 ¿Cuánto tiempo lleva en Toyota de PR?

5 R Veintiún (21) años.

6 Twenty-one (21) years.

7 Q Just a brief stipulation when, when I say Toyota;

8 I mean Toyota of PR, Corp.

9 ATTY. ARISMENDI:

10 Ok. Unless you specify otherwise.

11 ATTY. TREBILCOCK:

12 Exactly. Thank you.

13 ATTY. ARISMENDI:

14 Ok.

15 BY ATTY. TREBILCOCK:

16 Q What have been your functions at Toyota over the
17 course of the last three (3) years?

18 ¿Cuáles han sido sus funciones en Toyota durante
19 los últimos tres (3) años?

20 R Hasta hace casi un año estaba a cargo de
21 reportaje financiero y en el último año estoy a cargo de
22 la contabilidad general y desembolso.

23 Until almost a year ago I was in charge of
24 financial reporting and in the last year I have been in
25 charge general accounting and disbursements.

1 The multiple of ...

2 Q Please feel free.

3 R \$5.20

4 Q Can you do that same exercise please for a
5 vehicle weighing three thousand six hundred (3600)lbs? I
6 mean the calculation I don't mean the counting the
7 vehicles.

8 ¿Puede hacer ese mismo ejercicio para un vehículo de
9 tres mil seiscientas (3600) lbs. No quiere decir el
10 contando los vehículos, es el cálculo.

11 Q My apologies I think I made a mistake, I may have
12 said three thousand six hundred (3600) lbs, maybe I'm
13 wrong. I was supposed to say three thousand three hundred
14 (3,300) lbs.

15 Se supone que dijera tres mil trescientas (3,300)
16 lbs.

17 R Seis dólares sesenta centavos (\$6.60).

18 Six dollars and sixty cents (\$6.60)

19 Q But Toyota was paying ten (\$10.00) dollars per
20 vehicle. Correct? I have a question, when you were
21 calculating the damages in this case did you take into
22 consideration that Crowley was charging a surcharge above
23 what the Puerto Rico Ports Authority was charging?

24 Pero Toyota estaba pagando diez (\$10.00) dólares
25 por vehículo, ¿correcto? ¿Cuándo usted estaba calculando

1 los daños, para esta demanda, usted estaba tomando en
2 cuenta que Crowley estaba cobrando un cargo sobre, por
3 encima de la tarifa que cobraba Autoridad de Puertos?

4 R No.

5 Q Thank you. Let's put this back together and put
6 it, put the, if you'll be so kind. For the record I'm
7 going to be showing the witness exhibit B. Mr. O'Neill
8 have you already seen the document exhibit B of the
9 deposition?

10 ¿Usted ya ha visto este documento que se denomina
11 exhibit B de la deposición?

12 R Sí.

13 Yes.

14 Q Just for the record we're looking at invoice 135
15 and invoice OGA2702. What is the rate that was being
16 charged per ton by Oceanic to Toyota?

17 ¿Cuál es la tarifa por tonelada que Oceanic le
18 estaba cobrando a Toyota?

19 R En estas dos (2) facturas particularmente cinco
20 dolares con cuarenta y cinco centavos (\$5.45).

21 In these two (2) invoices particularly five
22 dollars and forty five cents (\$5.45).

23 Q Is that more than what Puerto Rico Ports
24 Authority charges per its regulation?

25 ¿Es más de lo que cobra la Autoridad de Puertos

1 de Puerto Rico según sus reglamentos?

2 R Sí.

3 Yes.

4 Q Did you take into consideration that surcharge that
5 was been charged by Oceanic General Agency to Toyota when
6 you made your calculations for the claim?

7 ¿Usted tomó en cuenta ese recargo que Oceanic
8 estaba cobrando a Toyota cuando usted hizo sus cálculos
9 para la demanda?

10 R No.

11 Q The truth is that Oceanic charged that same rate of
12 five dollars and forty five (\$5.45) per ton to Toyota all
13 the way to its last invoice of June 23, 2017, correct?
14 Sorry, January 23, 2017.

15 ¿Es cierto entonces que Oceanic cobraba esa misma
16 tarifa de cinco dólares y cuarenta y cinco (\$5.45) a
17 Toyota hasta el mismo 23 de enero del 2017?

18 R No conozco eso.

19 I'm not aware of that.

20 Q I'm going to remove exhibit B and hand it back to
21 the court reporter and I'm going to show the witness
22 exhibit C, which are a number of invoices dated July 29,
23 2016 through June 23, 2017. Is that fine with you sister
24 counsel Arismendi?

25 ATTY. ARISMENDI:

1 Yes, I am appointed to testify as I was requested
2 by counsel.

3 Q By which counsel?

4 R You.

5 Q I asked for him specifically.

6 ATTY. ARISMENDI:

7 Yeah.

8 **BY ATTY. TREBILCOCK:**

9 Q Thank you. Who would be the person who could
10 tell me at Toyota whether these are discriminatory fees or
11 whether their unfair?

12 ¿Quién sería la persona dentro de Toyota de
13 Puerto Rico que podría decirme ...

14 ATTY. ARISMENDI:

15 Objection to the question, it calls for legal
16 conclusions.

17 **BY ATTY. TREBILCOCK:**

18 Q We'll go over something else.

19 Que no procede la pregunta.

20 R Ok.

21 Q Mr. O'Neill at any time did Toyota of Puerto Rico
22 object to the electronic scanning fee?

23 ¿Sr. O'Neill en algún momento Toyota de Puerto
24 Rico llegó a objetar la tarifa para escanear de la
25 autoridad de puerto?

1 R Con la excepción del memorando del año pasado no
2 tengo conocimiento de ese hecho.

3 With the exception of the memorandum from last
4 year I don't have any knowledge that it's been done.

5 Q So, your first knowledge of any objection was an
6 objection in the year 2017?

7 ¿Entonces, su primer conocimiento de una objeción
8 fue una objeción que se hizo en el 2017?

9 R Correcto.

10 Correct.

11 Q Did you file any grievous or complaints against
12 Crowley Puerto Rico Services Inc.?

13 ¿Usted llegó a presentar alguna queja o querella
14 en contra de Crowley?

15 R No.

16 Q What about against Oceanic General Agency?

17 ¿Y en contra de Oceanic General Agency?

18 R No.

19 Q But you weren't aware in the past that they were
20 charging a surcharge above what Port Authority charge,
21 correct?

22 Pero usted no estaba, no tenía conocimiento de
23 que se estaba cargando un recargo sobre lo que carga la
24 autoridad de puerto, ¿correcto?

25 R No.

1 Q The fees that are claimed are significant
2 correct?

3 ¿Las tarifas que se reclaman son significativas
4 verdad?

5 ATTY. TREBILCOCK:

6 I am going to ask him about the... Obviously you are
7 going to have an objection.

8 ATTY. ARISMENDI:

9 Yes. Oh, I'm just stating relevance objection to the
10 question. You can ask the question and I'll state for the
11 record.

12 ATTY. TREBILCOCK:

13 Q Perfect. Mr. O'Neill these fees, the electronic
14 scanning fees did Toyota pass them on to the Toyota
15 dealers?

16 ATTY. ARISMENDI:

17 I'll object... Are you done with the question? I am
18 going to object to this line of questioning on the grounds
19 of relevance.

20 ATTY. TREBILCOCK:

21 We believe that it's relevant we haven't found a
22 single shipping act case which prohibits the use of the
23 pass on defense. So, objection posed. Could you please Mr.
24 O'Neill inform us whether that cost was past on within the
25 vehicle cost to the dealers, they are independent dealers,

1 correct?

2 ¿Estas tarifas para el escaneo electrónico,
3 Toyota llego en algún momento a pasar estas tarifas a los
4 dealers de Puerto Rico, son dealers independientes, ¿es
5 correcto?

6 R Sí

7 Yes.

8 Q They did pass the fees on to them, right?

9 ¿Si entonces pasaron esa tarifa a ellos,
10 entonces?

11 R ¿A quiénes son ellos?

12 Q A los dealers.

13 R A los dealers, sí.

14 To the dealers, yes.

15 Q How many independent dealers does Toyota of
16 Puerto Rico have?

17 ¿Cuántos dealers independientes tiene Toyota de
18 Puerto Rico?

19 R Veinte tantos.

20 It's twenty something.

21 Q Thank you. It's Lexus of Puerto Rico a separate
22 company from Toyota of Puerto Rico Corp.?

23 ¿Lexus de Puerto Rico es una compañía aparte,
24 separada de Toyota de Puerto Rico Corp.?

25 R Sí.

1 No más preguntas.

2 Q Thank you for being here. Closing time 5:00pm

3 Gracias estar aquí.

4

5 **END OF THE PROCEEDINGS**

6

7

CERTIFIED TRANSLATION

IN THE SUPREME COURT OF PUERTO RICO

Chamber of Marketing, Industry and Distribution of Food		
Appellee		
v.	CC - 2018 - 600	Certiorari
Ports Authority		
Petitioner		

JUDGMENT

In the present case, we must determine whether the Court of Appeals erred by revoking an opinion issued by the Court of First Instance under the doctrine of *res judicata* in its modality of collateral estoppel by judgment, this after concluding that the declaration of nullity of Regulation No. 8803 “Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo, Containers to Improve Security and Safety at the Port Facilities, and/or Otherwise Implement the Public Policy of the Commonwealth of Puerto Rico Delegate Upon the Ports Authority”, by another panel of the intermediate appellate forum, affected the authority of the Ports Authority to charge for inspecting the containers.

As we understand that the Court of Appeals erred in its decision, we revoke the appealed ruling. Let's see.

I.

The case before our consideration originates in 2011, when the Ports Authority

I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
CERTIFIED TRANSLATION

(hereinafter “Authority”) approved Regulation No. 8067 of September 11, 2011, “Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo, Containers to Improve Security and Safety at the Port Facilities, and/ or Otherwise Implement the Public Policy of the Commonwealth of Puerto Rico Delegate Upon the Ports Authority, hereinafter “Regulation 8067”). The aforementioned regulation established an inspection procedure for the boxcars that enter Puerto Rico through the port of San Juan and provided for a fee collection to shipping companies with the purpose of recovering the expenses incurred by the government in carrying out said inspection.

Thus, the validity of the aforementioned Regulation expired automatically on July 30, 2014. However, the Ports Authority continued inspecting the boxcars and charging the fee for such management.

Subsequently, back in 2015, the Ports Authority managed the approval of Regulation No. 8803 “Regulation for Implementing the Necessary Means to Guarantee an Efficient Flow of Commercial Traffic in the Scanning of Inbound Cargo, Containers to Improve Security and Safety at the Port Facilities, and/ or Otherwise Implement the Public Policy of the Commonwealth of Puerto Rico Delegate Upon the Ports Authority ”, (hereinafter“ Regulation No. 8803 ”), which was registered with the Department of State on September 6, 2016. Said regulation provided for the extension of the validity period of Regulation No. 8067, retroactive to July 1, 2014.

Aware of this, the Chamber of Marketing, Industry and Distribution of Food (MIDA, for its acronym in Spanish), Castro Business Enterprise and the Unión de Mayoristas [Union of Wholesale Markets] filed before the Court of First Instance a claim on Declaratory Judgment and Permanent Injunction against the Ports Authority. They questioned the authority of said public



I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600

CERTIFIED TRANSLATION

corporation to intervene with the maritime cargo that enters Puerto Rico through the docks of San Juan and challenged the validity of the inspection charge collection provided by Regulation No. 8867. They argued that the Ports Authority was prevented from carrying out such actions, since Regulation No. 8067 was not in force. For such reason, they requested that the aforementioned public corporation be ordered to cease and desist from all cargo inspection and charge collection procedures. For its part, the Ports Authority argued that its authority to intervene in the process of inspection of maritime cargoes of Puerto Rico arose from its Organic Law, *infra*, Act No. 12-2008, *infra*, and Resolution No. 2015- 002, which eventually became Regulation No. 8803.

After evaluating the expositions of both parties, on October 18, 2016, the primary court issued a Judgment, in which it determined that Act No. 12-2008, *infra*, expressly authorized the Ports Authority to intervene in the Maritime cargo inspection process of Puerto Rico. In addition, it resolved that the retroactive amendment made in 2015 kept the Regulation in force, therefore it was not appropriate to stop charging the charge in question. Based on the foregoing, it dismissed the claim with prejudice.

However, it is necessary to point out here that on October 6, 2016, and - - sbefore the Court of First Instance issued its judgment - - MIDA filed a judicial review appeal before the Court of Appeals through which it challenged the validity of Regulation No. 8863. When handling it, the intermediate appellate court reasoned that it was not necessary to extend retroactively the application of Regulation No. 8067. Therefore, on October 28, 2016, it issued a Judgment in which it declared the nullity of Resolution 2015- 002 and, consequently, of Regulation No. 8863.

Faced with such decision, the Ports Authority proposed a new regulation that would



I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
 CERTIFIED TRANSLATION

expressly replace Regulation No. 8067 and whose validity would be immediate. Thus, Regulation No. 8837 was registered with the Department of State on November 18, 2016.¹

Simultaneously, on November 15, 2016 MIDA and the other plaintiffs went to the Court of Appeals to appeal the Judgment issued by the primary court on October 18, 2016 (where it recognized the authority of the Ports Authority to intervene in the process of inspection of the maritime cargo of Puerto Rico and charge the fee for said inspection). On March 1, 2018, the intermediate appellate court issued a *Judgment* in which it decided that, pursuant to the opinion of another panel of said court in the case *MIDA v. Autoridad de los Puertos*, KLRA201601056 (Judgment of October 28, 2016) the present case constituted a *res judicata* in its modality of collateral estoppel by judgment. Thus, it revoked the Court of First Instance *Judgment* and ordered that the case be returned to the primary forum to set and return the fees charged illegally to the appellees.

Opportunely, the Ports Authority submitted a motion for reconsideration in which it stated that Art. 3 of Act No. 12-2008, *infra*, imposes on them the obligation to develop strategies and take steps to defray the costs related to the compliance with the provisions of said Act, a purpose that is met by charging a fee for inspecting the boxcars. Once evaluated, the Court of Appeals issued a *Judgment* in reconsideration in which it simply modified Part IV of its previous judgment, thereby it provides: “it is returned to the Court of First Instance [TPI, acronym in Spanish] so that if there are illegally charged fees to appellees, set and return them”. Certiorari Appendix, p. 10.²

¹ MIDA challenged the validity of this new Regulation. However, on March 20, 2017 the Court of Appeals issued a Judgment in which it upheld its validity. Likewise, this Court refused to review the aforementioned Judgment by means of certiorari.

² The original Judgment provided: "it is returned to the Court of First Instance [TPI, acronym in Spanish] to set and
 I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
CERTIFIED TRANSLATION

Still dissatisfied, the Ports Authority appeals before us through a *Petition for a Writ of Certiorari* in which they argue that the appellate forum erred in deciding that the Ports Authority is not authorized to require payment of the improved safety fee due to the mere absence of a regulation in force or other provision of law that establishes the process for charging it. According to the aforementioned public corporation, the Court of Appeals, at the time of issuing its sentence, had to consider the comprehensive language of Act No. 12 - 2008, *infra*, which grants the Ports Authority broad authority to impose the fee in question.

The dispute being thus engaged, we proceed to resolve it with the benefit of the appearance by both parties.

II.

As is known, Act No. 125 of May 7, 1942, 23 LPRA, sec. 331, *et seq.*, also known as the *Ports Authority Act*, created the entity we know today as the Puerto Rico Ports Authority, successor to the former Puerto Rico Transportation Authority. In accordance with the provisions of said legal provision, the aforementioned organization would be responsible for developing and managing all transportation, and air and maritime service facilities, as well as establishing and managing collective maritime transportation systems. 23 LPRA sec. 336.

In order to achieve the foregoing, as provided in the aforementioned Act, the Ports Authority would have, and could exercise, all necessary powers. Pursuant to this, in the statute in question, a list of the powers that the Ports Authority had to achieve the objectives for which it was created was included, but it was expressly indicated that said list was non-restrictive. *Id.* The aforementioned powers include: **“to determine, set, alter, impose, and charge fees, dues, rents**

return to the appellees the illegally charged fees." *Certiorari Appendix*, p. 21.

pep

I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
CERTIFIED TRANSLATION

and other charges for the use of the Authority's facilities or services, or other items sold, provided or supplied by the Authority, that are fair and reasonable.” (Emphasis supplied) *Id.*, Subsection (1).

On the other hand, on February 18, 2008, the Legislative Assembly of Puerto Rico approved Act No. 12-2008, 23 LPRA, sec. 3221 *et seq.*, also known as the Public Policy Act of Puerto Rico in the Area of Port Security. This, in order to establish **“a mechanism for agencies in charge of public safety and seaports to coordinate and design security strategies, and take advantage of available resources to develop a better port security system.”** (Emphasis supplied) Statement of Motives, Act No. 12-2008, *supra*. One of the issues of greatest concern for Puerto Rico is the handling of cargo that enters through ports in boxcars, due to the magnitude of the imports that the Island receives continuously. *Id.*

In order to address these security concerns, on August 2, 2007, an Interagency Agreement was established for the implementation of the Cargo and Merchandise Automated Control System between the Department of State, the Ports Authority, the Department of the Treasury, the Department of Transportation and Public Works, the Puerto Rico Police, and the Office of Management and Budget. The foregoing in order to integrate efforts between these instrumentalities to prevent illicit arms and drug trafficking, among others, in our ports and airports. *Id.*

In order to implement the aforementioned agreement and certain federal port security measures, Act 12-2008, *supra*, established as a public policy of the Commonwealth of Puerto Rico:



I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600

CERTIFIED TRANSLATION

- (a). The seaports of Puerto Rico shall comply with all federal provisions described in the Maritime Transportation Security Act, and its international equivalent, International Ship and Port Facility Security Code (ISPS), on or before January 1, 2009.
- (b.) To acknowledge the Interagency Agreement for the Implementation of the Cargo and Merchandise Automated Control System of August 2, 2007.
- (c). That on or before October 1, 2008, the Ports Authority shall implement a model of fast lanes for the evaluation of goods entering the Island by sea, this date shall be extendable by the agencies that sign the Interagency Agreement.
- (d). That the measures taken to ensure maritime safety are designed to limit to a minimum delays in the rapid flow of cargo. Art. 2 of Act No. 12-2008, 23 LPRA, sec. 3222

Likewise, Act No. 12-2008, *supra*, also provides in its Article 3 that

- (a). To comply, formalize, and carry out all necessary process or acquisition to exercise the powers and obligations conferred by this chapter or any other related law of the Legislative Assembly of Puerto Rico or the United States Congress, within the terms of time required, the Government of Puerto Rico, its dependencies, instrumentalities and political subdivisions, **shall develop strategies and carry out efforts to finance and cover any costs related to this chapter**, through participation in programs that provide federal funds, development of strategic alliances with national security agencies or allowing private investment. 23 LPRA, sec. 3223. (Emphasis supplied).

III.

On the other hand, and for being extremely relevant for the correct interpretation of the controversy at hand, it is worth mentioning Art. 1204 of the Civil Code of Puerto Rico, 31 LPRA, sec. 3343, is the one that contemplates *res judicata* [a matter already judged] doctrine, which seeks to avoid litigating again an issue that was already adjudicated in a previous lawsuit. *Parrilla v. Rodríguez*, 163 DPR 263 (2012); *Worldwide Food Dis., Inc. v. Colón et al*, 133 DPR 827 (1993); *Rodríguez Rodríguez v. Colberg Comas*, 131 DPR 212 (1992). For this doctrine to be



I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
CERTIFIED TRANSLATION

applicable “it is necessary that between the case resolved by the judgment and the one in which it is invoked, concur the most perfect identity between the things, the causes, the litigants' character and the quality they showed” 31 LPRA, sec. 3343

Now, there is a modality of the *res judicata* doctrine known as the collateral estoppel by judgment. Although this rule pursues the same purposes, it differs from the matter already judged in that for its application it is not necessary to fulfill the identity of causes' requirement. Presidential v. Transcribe, 186 DPR 263 (2012); Benítez v. Vargas, 184 DPR 210 (2012); S.L.G. Szendrey-Ramos v. Consejo de Titulares, 184 DPR 133 (2011). **The collateral estoppel takes effect when, by means of a valid and final judgment, an essential fact is determined for the solution of a dispute, and said determination is conclusive in a subsequent lawsuit between the same parties, although different causes of action are being elucidated in it.** Presidential v. Transcribe *supra*; Benítez v. Vargas, *supra*; S.L.G. Szendrey-Ramos v. Consejo de Titulares, *supra*.

It should be noted, however, that when applying the doctrine of collateral estoppel the previous opinion is only considered conclusive with respect to those issues that were raised and truly litigated and adjudicated, but not as to those that could have been, but were not litigated and adjudicated in the previous lawsuit. . Presidential v. Transcribe *supra*; Benítez v. Vargas, *supra*; Aponte v. Román, 145 DPR 477 (1998); Millán v. Caribe Motors Corp., 83 DPR 494 (1961).

It is precisely in the light of the regulations set forth above, that we proceed to resolve the dispute before our consideration.

IV.

I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
CERTIFIED TRANSLATION

As we mentioned earlier, in the present case the Court of Appeals revoked a certain opinion of the primary forum on the grounds that there was collateral estoppel by judgment, because another panel of the intermediate appellate forum had already declared the nullity of Regulation No. 8803. By doing so, the intermediate appellate forum assumed that the authority of the Authority to inspect boxcars and collect the corresponding fee came exclusively from said Regulation.

However, when studying the provisions applicable to the dispute before us, it is clear that, both the Ports Authority organic law, Act No. 125, *supra*, and Act No. 12-2008, authorize said agency to carry out the inspection of the containers that enter the Island through the ports and collect the fee appropriate to the cost of said procedure, as long as it is fair and reasonable. In that sense, although the Judgment issued by the Court of Appeals in the case MIDA v. Autoridad de los Puertos, KLRA201601056, is conclusive regarding the nullity of Regulation No. 8863, it is not conclusive as to the powers that have been delegated by the Legislative Assembly to the Ports Authority, and that the intermediate appellate forum should have also evaluated.

Therefore, in the present case it was not necessary to revoke the opinion of the Court of First Instance under the doctrine of collateral estoppel. **The requirements demanded by this legal concept are not present, namely: that (1) an essential fact for the pronouncement of the judgment (2) has been elucidated and determined by means of a valid and final sentence, and (3) such determination is conclusive in a second lawsuit between the same parties.** Thus, the indicated error was committed.



I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.

CC- 2018- 600
CERTIFIED TRANSLATION

V.

On the grounds set forth above, the requested writ of certiorari is issued and the Judgment of the Court of Appeals is revoked, and the opinion of the primary forum is upheld in relation to the authority of the Ports Authority to intervene with the maritime cargo and charge for their inspection.

It was agreed by the Court and certified by the Acting Secretary of the Supreme Court. Chief Justice Oronoz Rodríguez, Associate Justice Mrs. Rodríguez Rodríguez and Associate Justice Mr. Estrella Martínez dissent without Written Opinion.

[Illegible Signature]
Sonnya Isabel Ramos Zeno
Acting Secretary of the Supreme Court

[Supreme Court Stamp]



I, Juan E. Segarra, USCCI #06-067/translator, certify that the foregoing is a true and accurate translation, to the best of my abilities, of the document in Spanish which I have seen.